burg persisted with its accusations—indeed that a few of Adani's responses reinforced some of them—and even declared that "fraud cannot be obfuscated by nationalism".

Meanwhile, the Reserve Bank of India (RBI) and markets regulator Securities and Exchange Board of India (Sebi) are reportedly scrutinising the matter. However, every delay in assuring investors of the group's financials leaves it vulnerable to panic-selling in the market. Even as the BSE and NSE put three Adani companies—Adani Enterprises, Adani Ports and Special Economic Zone, and Ambuja Cements—on their short-term Additional Surveillance Measure framework, ratings agency S&P red-flagged Adani Ports and Adani Electricity, Credit Suisse's lending arm assigned zero lending value to the bonds issued by Adani companies, and the wealth investment arm of Citigroup has reportedly stopped accepting Adani Group securities as collateral for extending margin loans. French company Total Energy put its hydrogen venture with Adani on hold pending audit clearances. Some relief to Adani came by way of a statement from Fitch Ratings, which discounted any immediate impact on the ratings of Fitch-related Adani entities and their securities.

There is no denying the damage, though. The Hindenburg report came just before Adani Enterprises' FPO, which was aimed at raising Rs 20,000 crore from the markets to fuel expansion plans and repay some of the debt. But with Hindenburg's allegations, the company's shares were soon trading much below the floor price of the FPO, which was in the band of Rs 3,112-3,276 per share. Although the FPO was fully subscribed, especially with the support of high net worth individuals, it was called off on February 1, "in the interest of its subscribers", and a declaration that "it would not be morally correct" to go ahead with it. The fact is its stock price had already dropped to Rs 1,500 per share and was showing signs of further depletion.

## IS INDIA'S FINANCIAL STABILITY AT STAKE?

The immediate concern for the Modi government was whether Adani's plunging stock would hurt the country's macroeconomic stability with a possible domino effect causing a financial meltdown in the stock markets. Adani is, after all, India's largest private sector power producer, ports and airports operator, consumer gas business and electric transmission company, in addition to being the largest infrastructure developer and generator of renewable energy. It has big plans in the solar, wind and green hydrogen fields, and a scope ranging from power to edible oil, mining to data centres. If Adani falls, the reverberations will be felt across the economy. A senior finance ministry official, however, expresses confidence that there will be no major impact on the country's financial stability.

## HIGH BORROWING

*The Adani Group has fuelled its growth with debt, which has touched nearly Rs 2 lakh crore*

**Consolidated Debt (Rs crore)**

| | | |
|---|---|---|
| Adani Enterprises | Mar. 2022 | 40,508 |
| Adani Green Energy | Mar. 2022 | 53,612 |
| Adani Ports & SEZ | Mar. 2022 | 45,752 |
| Adani Power | Mar. 2022 | 48,796 |
| Adani Total Gas | Mar. 2022 | 995 |
| Adani Transmission | Mar. 2022 | 32,870 |
| Adani Wilmar | Mar. 2022 | 2,568 |
| Ambuja Cements | Dec. 2021 | 47 |
| ACC | Dec. 2021 | 0 |

## THE P/E SPIKE

*Some Adani firms have very high price to earnings ratio compared to industry peers*

**Consolidated Trailing 12 Months P/E**

| | |
|---|---|
| Adani Enterprises | 147 |
| Adani Green Energy | 264 |
| Adani Ports & SEZ | 22 |
| Adani Power | 7 |
| Adani Total Gas | 335 |
| Adani Transmission | 128 |
| Adani Wilmar | 72 |
| Ambuja Cements | 42 |
| ACC | 57 |



**DINESH KUMAR KHARA**
*SBI chairman*

**"WHATEVER BANKS LIKE US HAVE LENT (TO ADANI)... IS A VERY SMALL COMPONENT OF OUR TOTAL LOAN BOOK...WE'VE NEVER SEEN ANY DEFAULT IN THE PAST"**

"The public sector banking and financial institutions that have invested in Adani do not have such a large exposure as to cause a first-order attack," he says. "Moreover, Adani is no fly-by-night operator but a company that has solid valuable assets, particularly in the infrastructure sector, which they have placed as collateral for taking on debt. Of course, allegations such as stock manipulation leading to inflated prices of